

In the Supreme Court of Bangladesh
 High Court Division
 (Special original Jurisdiction)

Present:

Mr. Justice Md. Bazlur Rahman

And

Mr. Justice Syed Mohammed Tazrul Hossain

Customs Appeal No. 466 of 2022

In the matter of:

Commissioner of Customs Bond
 Commissionerate, 342/1, Shegun Bagicha,
 Dhaka

..... Appellant

Versus

Customs, Excise and VAT Appellate Tribunal,
 Jiban Bima Bhaban (3rd Floor), 10 Dilkusha C/A,
 Dhaka-1000 and another

... Respondents

Mr. Mr. Mohaddes Ul Islam, D.A.G

..... For the petitioner

Mr. Md. Taufiqul Islam, Advocate

....For the respondent No. 2

Heard on: 26.11.2024

&

Judgment on: 11.12.2024

Syed Momammed Tazrul Hossain,J:

1. This appeal under Section 196D of the Customs Act, 1969 has been preferred against the judgment and order, dated 31.12.2021

passed by the Customs, Excise and VAT Appellate Tribunal, the respondent No. 1 as contained in Nathi No. CEVT/Case (cus) - 308/2020, dated 31.12.2021, partially allowing the appeal and thereby, rejecting the decision of the Commissioner, Customs Bond Commissionerate, 342/1, Segunbagicha, Dhaka passed vide order No. 40/Bond Circle - 03, dated 08.07.2020 and imposing a penalty of Tk. 50,000 under clause 1, table 2 of section 156(1) of Customs Act, 1969. Short facts for disposal of the appeal are that, the respondent No. 2 is a 100% export oriented composite garments industry; to carry out its business activities said respondent under a Bond License, being No. 881/Cus- PWD/2013, date 12.11.2013 has been enjoying bond ware house facilities. It imports accessories and raw materials to meet its production requirements and stores them in the said warehouse without paying customs duties and other chargeable levies. Respondent No. 2 is a member of BGMEA and upon submission of necessary UDs it has been carrying out its business as an exporter and deemed exporter through its affiliated garments manufacturing concerns. During carrying out bond related audit of the respondent No. 2, the Customs Bond authority found that the said respondent during the period of 12.11.2016 - 11.11.2017 without obtaining prior permission of the concerned authorities have utilized some bonded materials without necessary permissions. Assessable value of the said materials was tk. 1,29,66,591 and imposable

duties and taxes was tk. 39,87,226.80. Thereafter, the bond authorities issued a show cause notice upon the respondent and demanded an amount of tk. 39,87,226.80. Respondent No. 2 gave a reply to the said notice and thereafter, Commissioner of Customs Bond Commissionerate, Dhaka ordered the respondent to pay Tk. 39,87,226.80 as customs taxes and levies and tk. 5,00,000/- as penalty. Respondent No. 2 preferred appeal before the CEVT against the said order and the upon hearing the parties, learned Tribunal passed an order, dated 31.12.2021 and allowed the appeal in a modified form. Instant Appeal has been preferred by the Commissioner of Customs Bond Commissionerate, Dhaka against the said order of the Tribunal.

2. Mr. Mohaddes UI Islam, learned Deputy Attorney General appearing for the appellant, placed the Paper Book and records of the case. He submits that the customs authority is responsible to prevent avoidance and ensuring realization of revenues in the form of customs duties and other levies on account of imported items; in the instant case, the respondent No. 2 enjoys a bonded warehouse facility and under the provision of section 97 of the Customs Act, 1969, no warehoused goods could be taken out of the warehouse without following prescribed formalities. The respondent took out bonded materials and carried out deemed export without obtaining prior Utilizing Permission (UP) from the concerned Customs authority. Thus it has committed a clear offence and considering the illegal activity of the

respondent, Commissioner, Bond Commissionerate, Dhaka has rightfully passed the order, dated 08.07.2020; but the learned Tribunal below without considering the violation of law committed by the respondent No. 2 allowed the appeal in modified form which is not at all sustainable.

3. He then submits that the said respondent specifically admitted that it has not obtained the necessary permissions before taking out the bonded goods from bonded warehouse and his admission proves that he has violated the provisions of section 32,86,97 and 114 of the Customs Act, 1969 and relevant rules of the Bonded Warehouse Rules, 2008. Therefore, the respondent No.2 has been held guilty under clause 1, 51A, 61, 62 and 90 of the table under section 156(1) of the Customs Act, 1969 and accordingly order was passed and the concerned authority has not committed any wrong imposing the customs duties and other levies and penalty upon the respondent No. 2.

4. He submits that the Tribunal failed to consider the material evidences on record submitted before it and without appreciating the submissions of the customs authorities made before it has passed the impugned judgment and order, dated 31.12.2021 without any backing of law and as such instant appeal should be allowed.

5. Mr. Taufiqul Islam, learned advocate appearing for the respondent No. 2 opposes the submissions made by the appellant. He submits that the respondent No. 2 is a 100% export oriented

composite garments industry. It enjoys a bonded warehouse facility and has always been very careful complying with applicable laws and regulations in relation to the said bonded facility. In the course of business respondent No. 2 utilised some bonded dyes and other raw materials in manufacturing garments in its affiliated concerns for export upon making necessary Utilization Declaration (UD) with the BGMEA. Such consumption of the said materials are considered as deemed export. Under the applicable laws, deemed export is also considered as export, hence the bonded materials utilized in deemed export are also completely duty exempted. However, it has now come to realize that to enjoy duty exemption for deemed export, the respondent should have obtained necessary UP from the customs authority apart from the UD that it has submitted with the BGMEA before utilizing the bonded materials.

6. He submits that the respondent has submitted all the necessary L/Cs for which said bonded materials were used and upon exporting the goods it has also received the export proceeds and submitted relevant proceed realization certificate (PRC) from the concerned bank and the customs authority did not find any fault with the documents submitted by the respondent. He submits that the petitioner's action in using the bonded materials in the instant matter was a mere irregularity in carrying out necessary documentation and as he has not used the said materials for any illegal purpose or in an effort to evade the leviable charges, the

petitioner is not liable to pay the imposed levy and penalty. in support of his submissions, learned advocate submits a decision of our Apex Court, Commissioner of Customs, Customs House, Dhaka and others Vs. M/S. Diplomat Garment (Pvt.) Ltd. represented by it's Managing Director A.A. Khan and others reported in 6 ADC 206 and another decision M/S. Diplomat (Pvt.) Ltd. Vs. The Commissioner of Customs, Customs House, Dhaka and others reported in 26 BLD (HCD) 471.

7. Mr. Islam submits that there was no ill motive or intention to evade duties and taxes on the part of the respondent while removing the bonded items to meet its export orders. But, due to oversight, only irregularity it committed was that it did not obtain required UP before using the bonded goods, which again was a mere omission on the part of the respondent and considering all the facts and circumstances, learned Tribunal has allowed the appeal filed by this respondent and imposed only penalty as provided under clause 1 of Table under section 156 of the customs Act, 1969 and hence instant appeal should be rejected.

8. We have heard the learned advocates of both the parties, perused the relevant documents and materials on record and carefully considered the applicable laws.

9. It is found that the appellant also accepted that the respondent has actually utilized the concerned bonded materials for meeting export orders through its affiliated concerns and thus carried out

deemed export of the said items. Respondent has submitted the relevant letters of credit under which it has exported the bonded materials. Export proceeds has also been brought to the country and proceed realization certificate has been furnished. It is found that though the respondent failed to obtain the UP before utilizing the bonded materials but it has not removed the said items to evade applicable customs duties and other charges. Learned advocate for the plaintiff candidly admitted that had the respondent requested for an Utilization Permission (UP) from the customs authority, it would have automatically gotten the said permission.

10. As per clause 51A and 90 of the Table under section 156(1) of the Customs Act, 1969 prescribed penalties are imposable if bonded materials are removed for the purpose of avoiding customs duties and taxes. But admittedly the respondent used the concerned materials for meeting export order of its affiliated entities and in the process carried out deemed export. However, as the respondent has failed to obtain UP before removing the bonded materials, even though for a purpose which is duty exempted, has committed a procedural irregularity. For the said irregularity it has been imposed with the maximum, penalty imposable under clause 1 of the table under section 156(1) of the customs Act, 1969 by the Tribunal below. It is found that in a similar situation in Commissioner of Customs, Customs House, Dhaka Vs. M/s. Diplomat Garment (Pvt.) Limited, as reported in 6 ADC 206 when customs authority issued a demand notice upon

the importer, it moved before the High Court Division under writ jurisdiction and upon production of UD, concerned L/C, proceed realization certificate, etc. rule was made absolute against which customs authority moved before the Hon'ble Appellate Division and said Hon'ble Division rejected to interfere with the finding of the high court division.

In view of the above referred decision and considering the background and all the materials on record we are of the view that the learned Tribunal below upon assessment of the relevant materials has arrived at a correct decision, therefore we do not find any reason to interfere with the decision of the Tribunal below.

Accordingly, the appeal is dismissed.

Let a copy of this judgment be sent to the Tribunal under the seal and signature of an officer of this court as mandated by section 231 the Customs Act, 2023.

Send the LCR back to the concerned authority forthwith.

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(Syed Mohammed Tazrul Hossain,J)

I agree

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(Md. Bazlur Rahman,J)